

TABLE 25.1 *(Continued)*

Behavioral Bias	Diagnostic Question
Conservatism	Assume you make an investment based on your own research. An advisor presents you with information that contradicts your belief about this investment. How would you respond?
Availability	Do you ever make investment decisions (such as selecting a mutual fund or online broker) based on word-of-mouth or name recognition?
Representativeness	Have you ever made a new investment because of its apparent similarity to a past successful investment (e.g., a tech stock or value stock) without doing research to validate the new investment’s merits?
Overconfidence	Suppose you make a winning investment. How do you generally attribute the success of your decision?
Confirmation	Suppose you make an investment based on your own research. The investment doesn’t move up as much as you thought it might. How are you likely to respond?
Illusion of control	You are offered two free lottery tickets. You may either select your own numbers or have a machine do it. What would you do?
Self-control	Do you tend to save or spend disposable income?

biases. Second, after reviewing the responses, the advisor focuses on biases identified by the questionnaire and delves further into them with the client to help create a modified portfolio.

CASE STUDY A: MR. NICHOLAS

Mr. Michael Nicholas (“Mr. N”) is a single, 59-year-old, hardworking, international pharmaceutical marketing executive (an employee of a large multinational company). He earns a salary of \$600,000 annually. He has residences in both Geneva and New Jersey and generally lives within his annual income net of taxes. He occasionally spends more than his net income, but in other years he saves and invests. His current portfolio is worth approximately \$4 million. It reached this value primarily because of some successful high-risk biotechnology investments as well as stock options granted by his employer. Mr. N is a widower and has no children. His primary financial goal is to retire comfortably at age 68 with a reduced spending level of \$150,000 and to bequeath any assets remaining at his death to